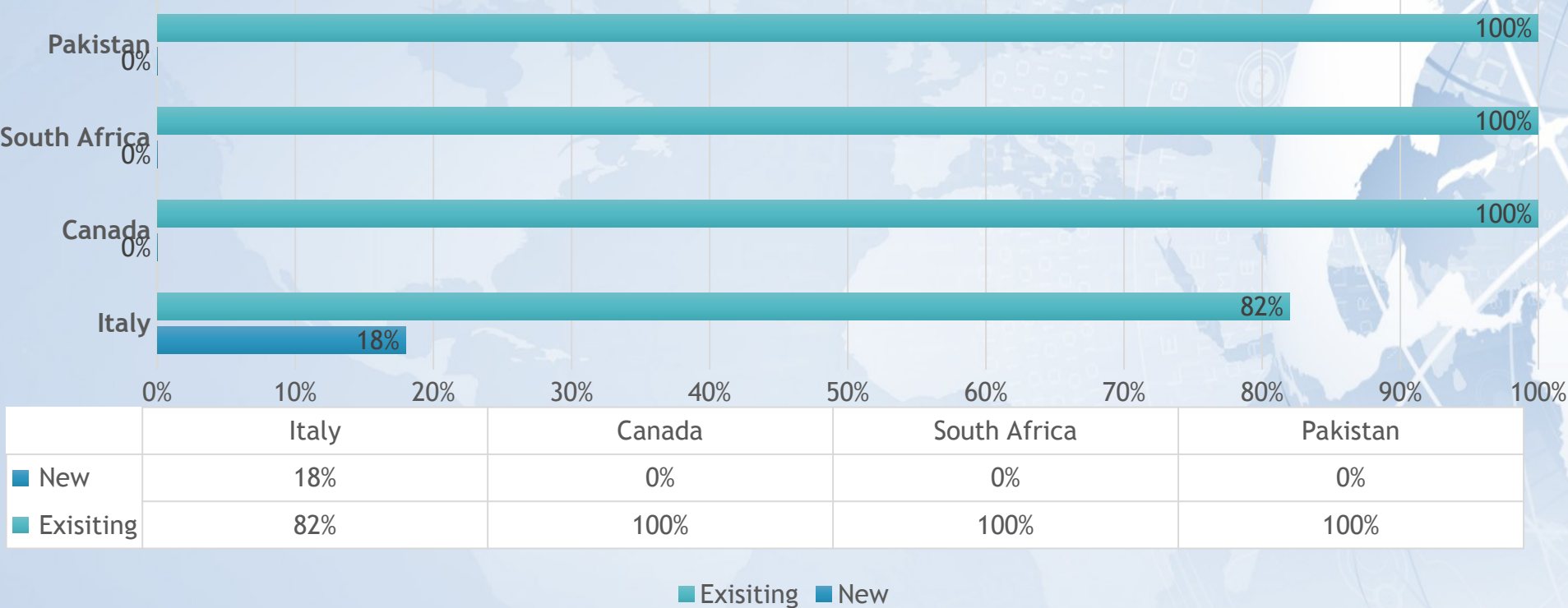


January 2024

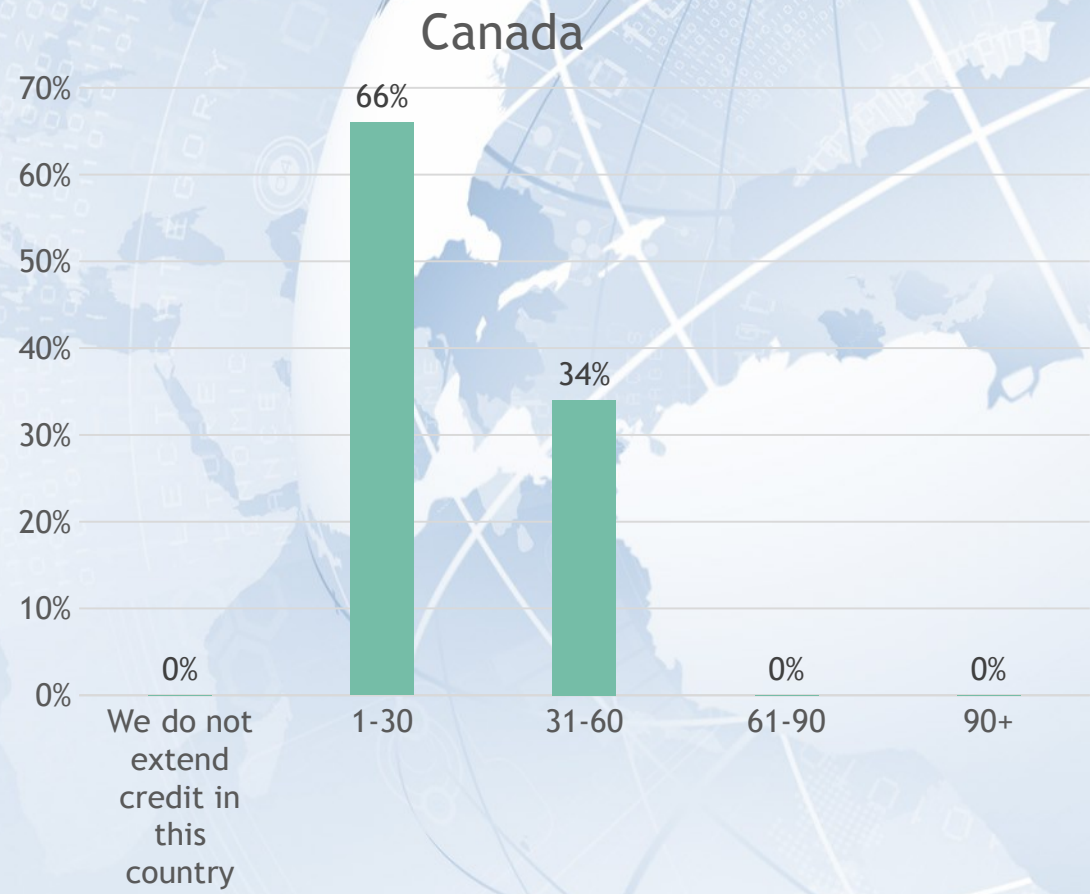
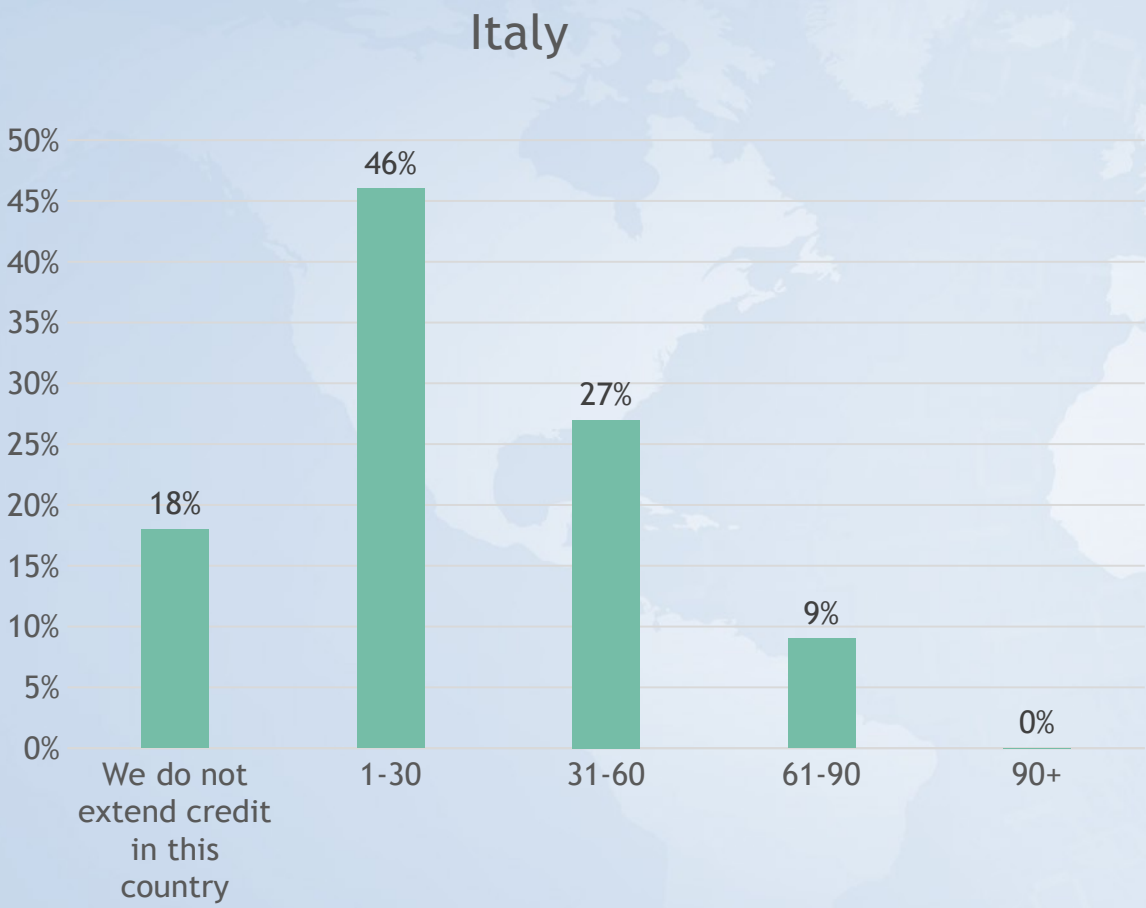
FCIB Credit & Collections Survey

Italy, Canada, South Africa, Pakistan

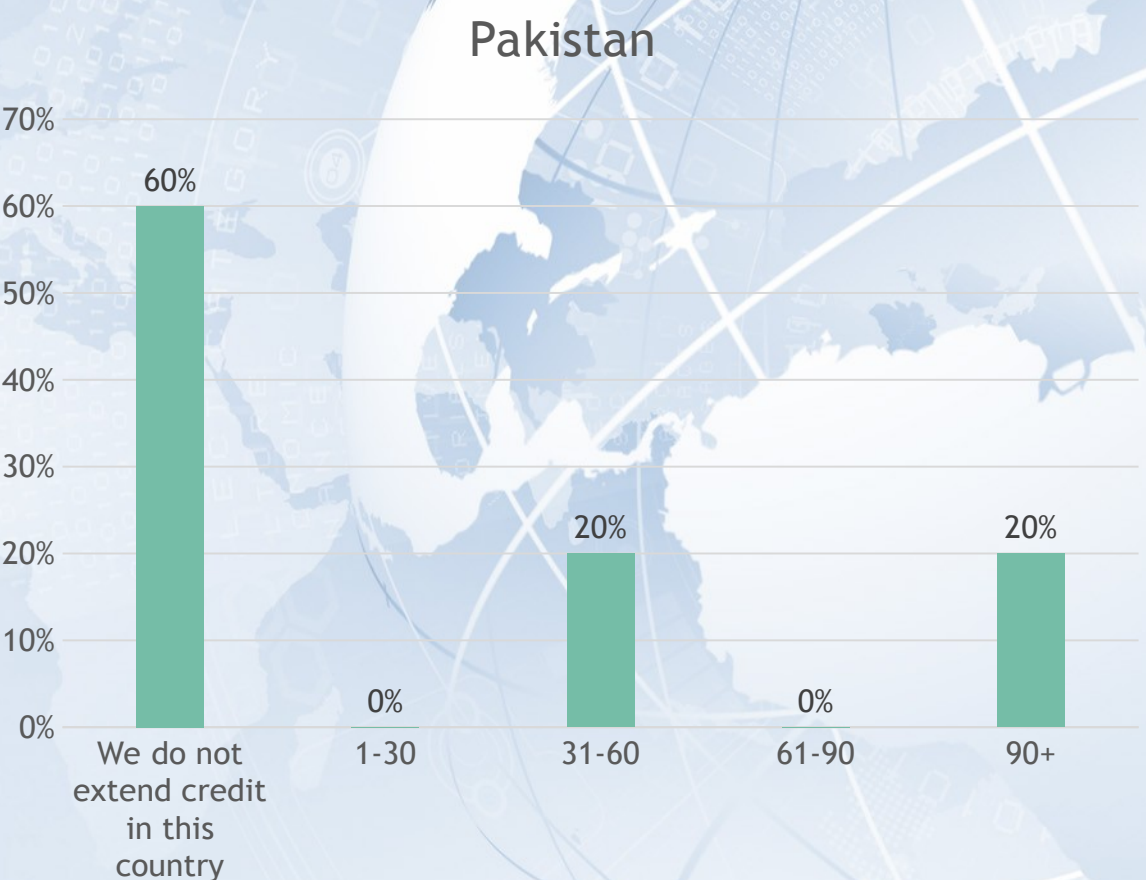
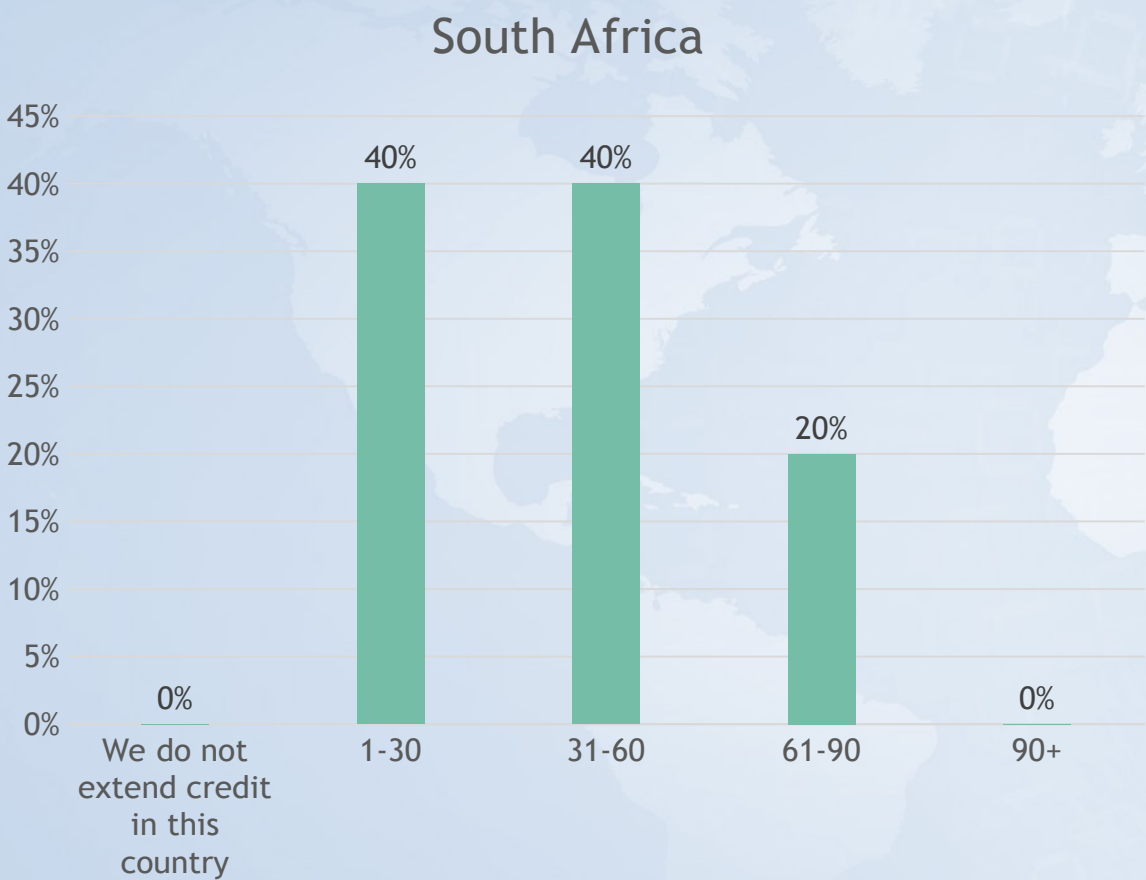
Are your sales primarily to new or existing customers?



On average, what payment terms are you granting?



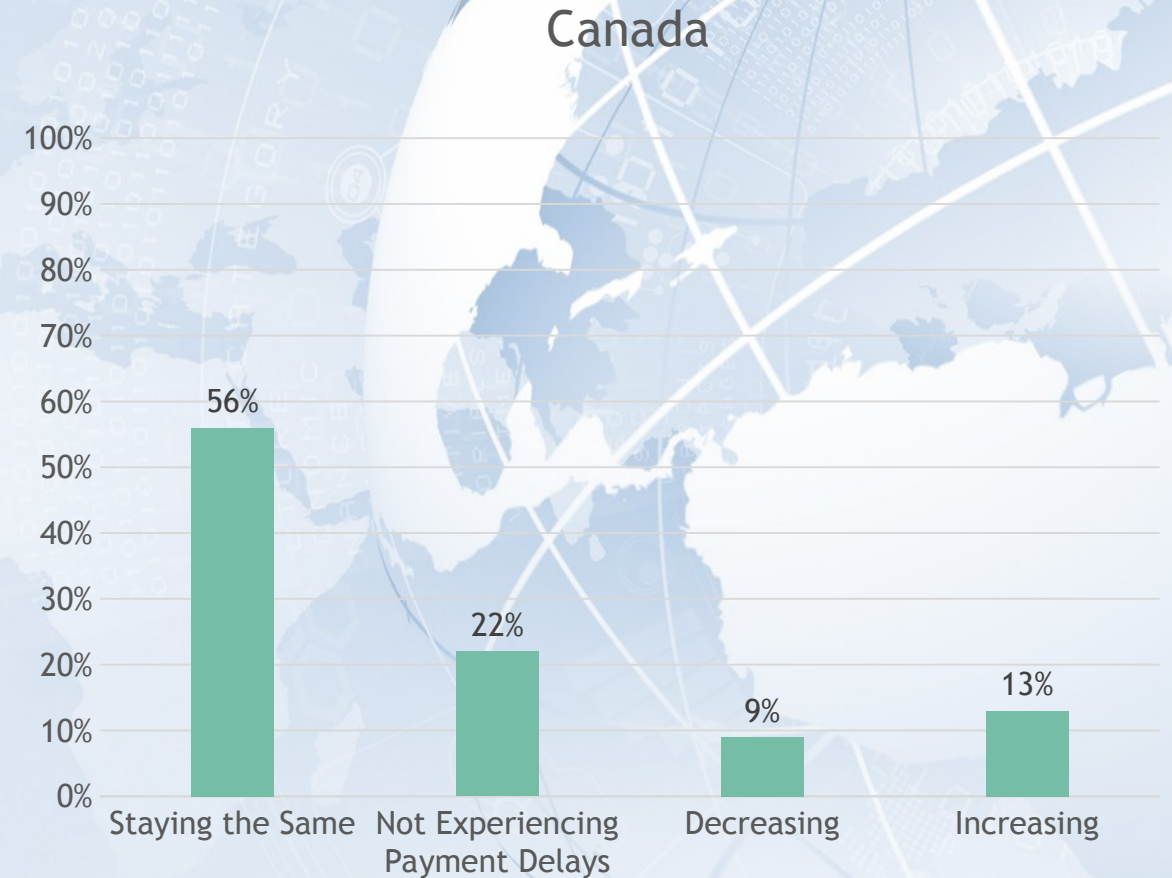
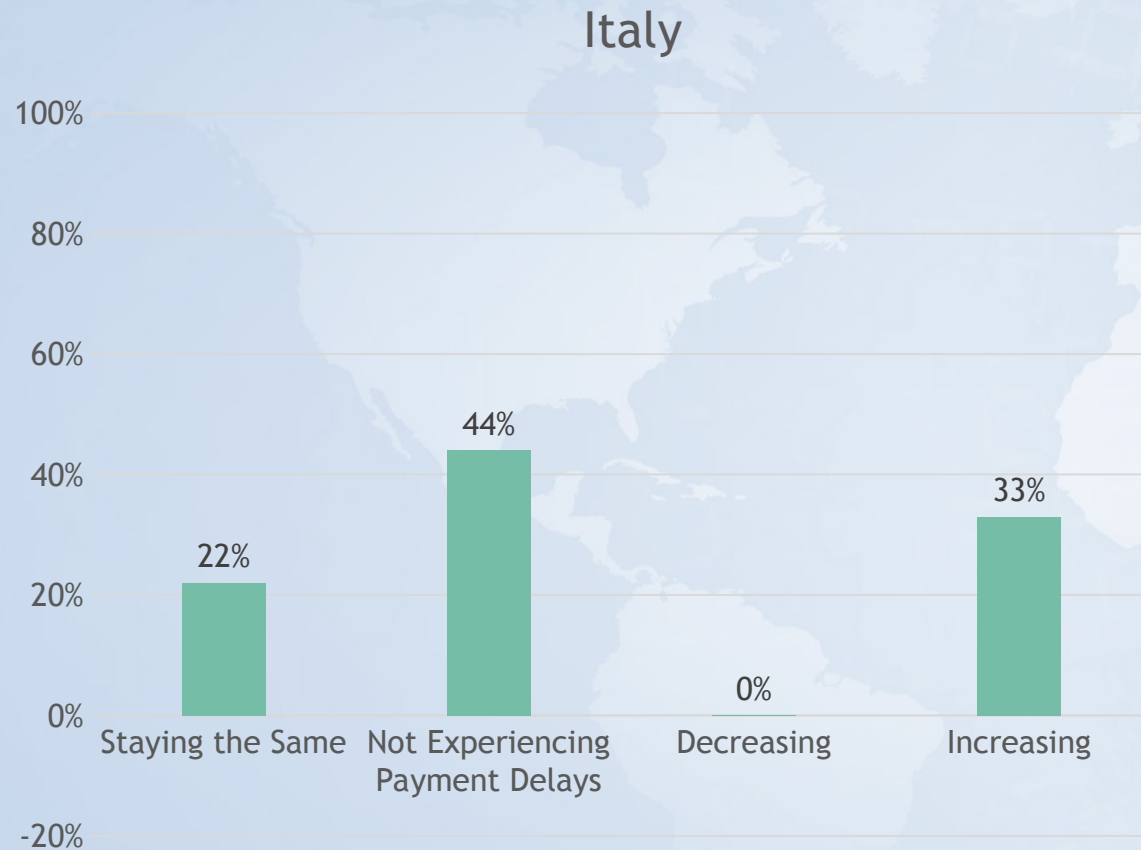
On average, what payment terms are you granting?



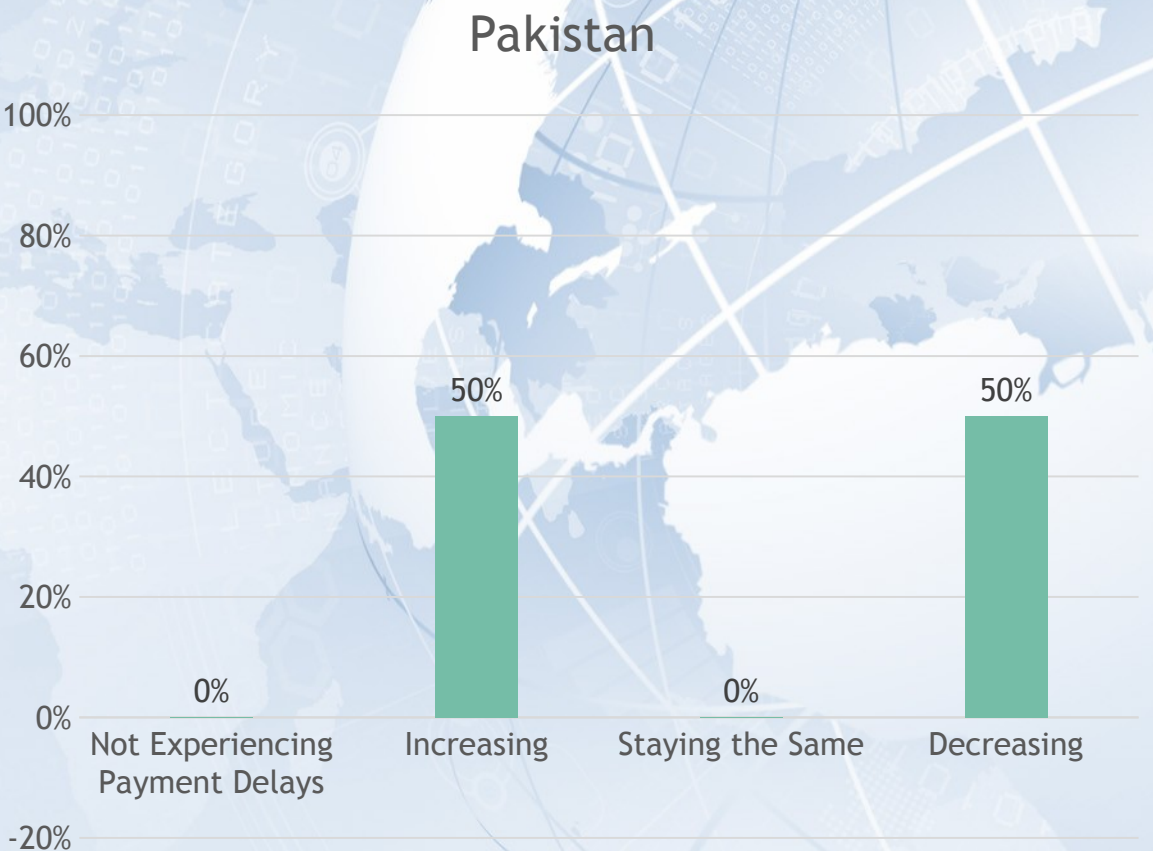
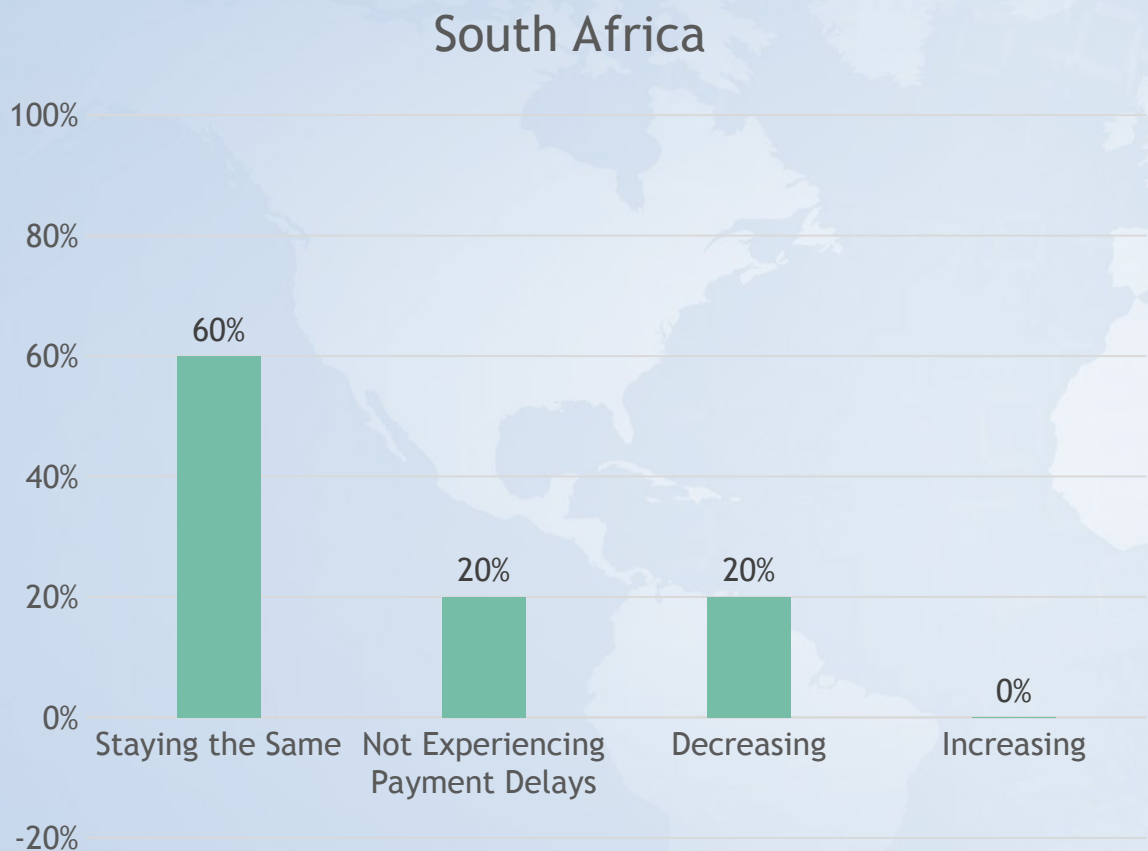
What is the average number of days beyond terms in these countries?



Are payment delays increasing, decreasing, or staying the same?

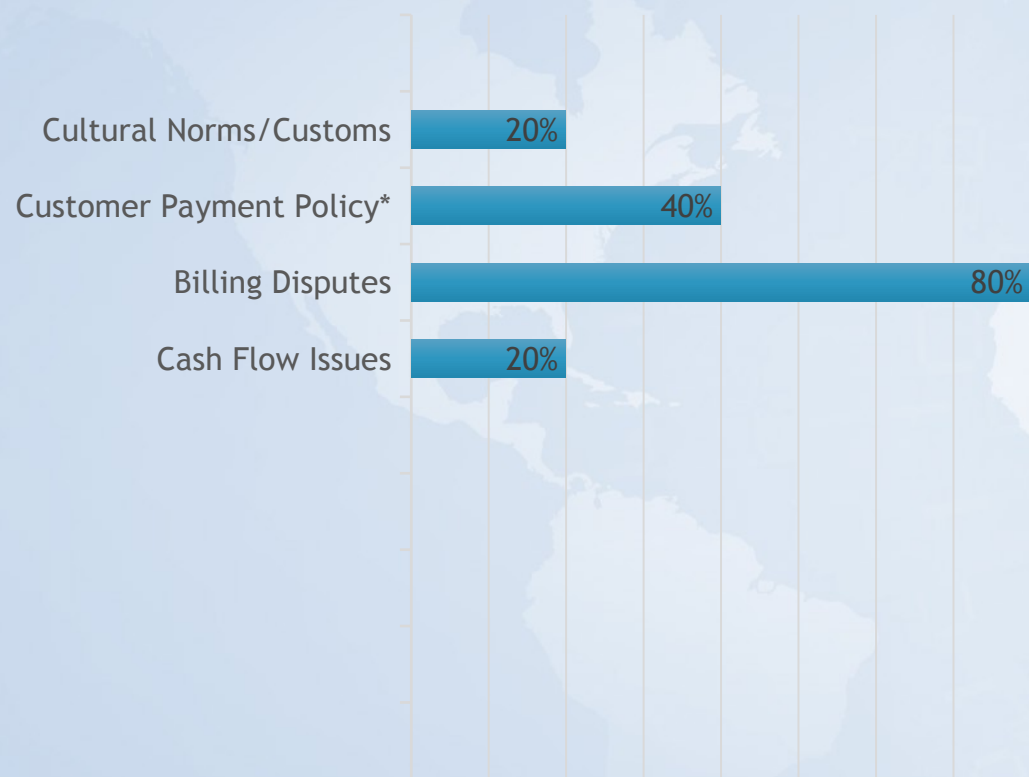


Are payment delays increasing, decreasing, or staying the same?

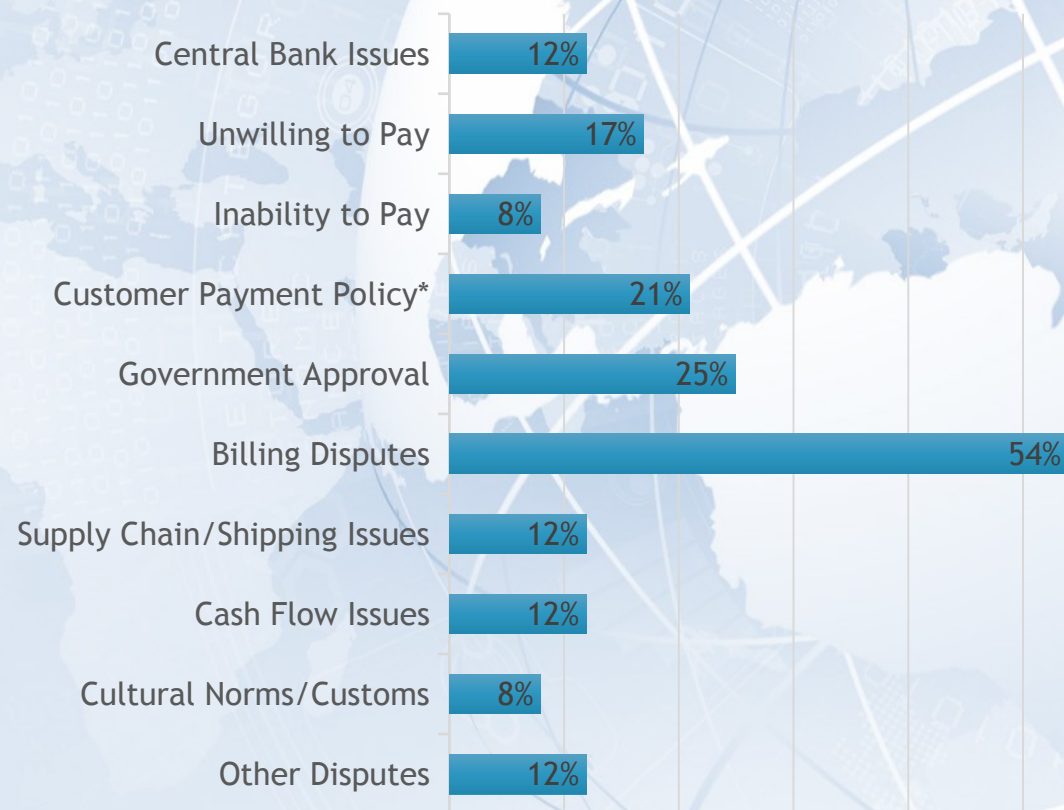


The most common causes of payment delays

Italy



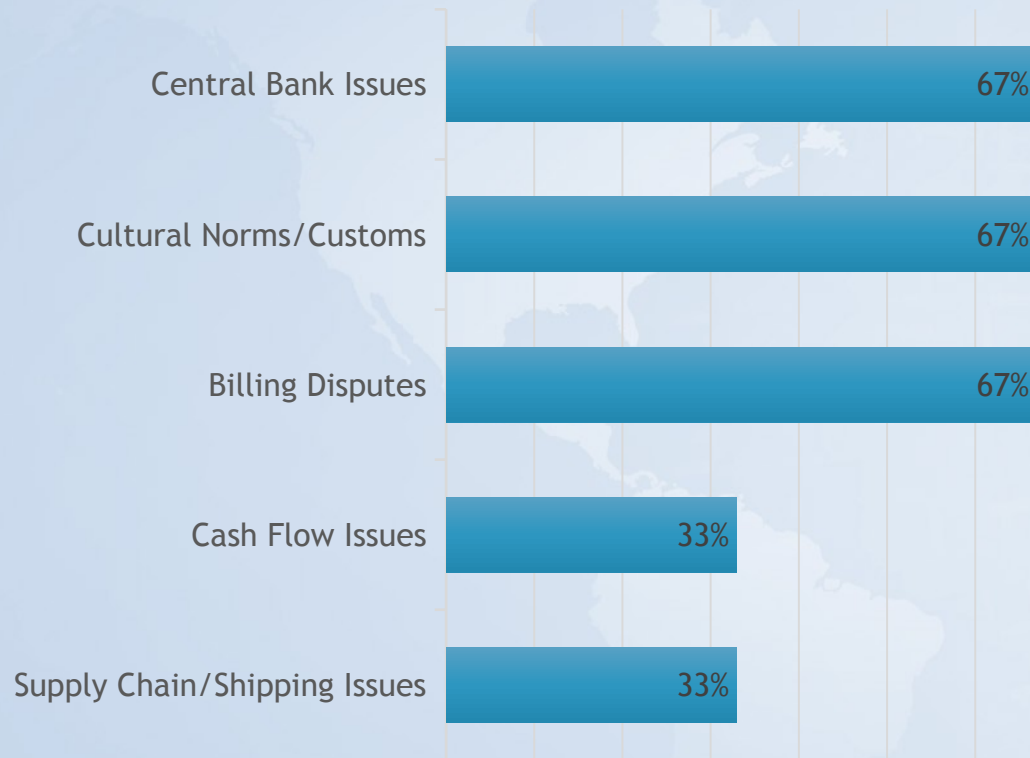
Canada



*(i.e. customer only pays on a set day of the month)

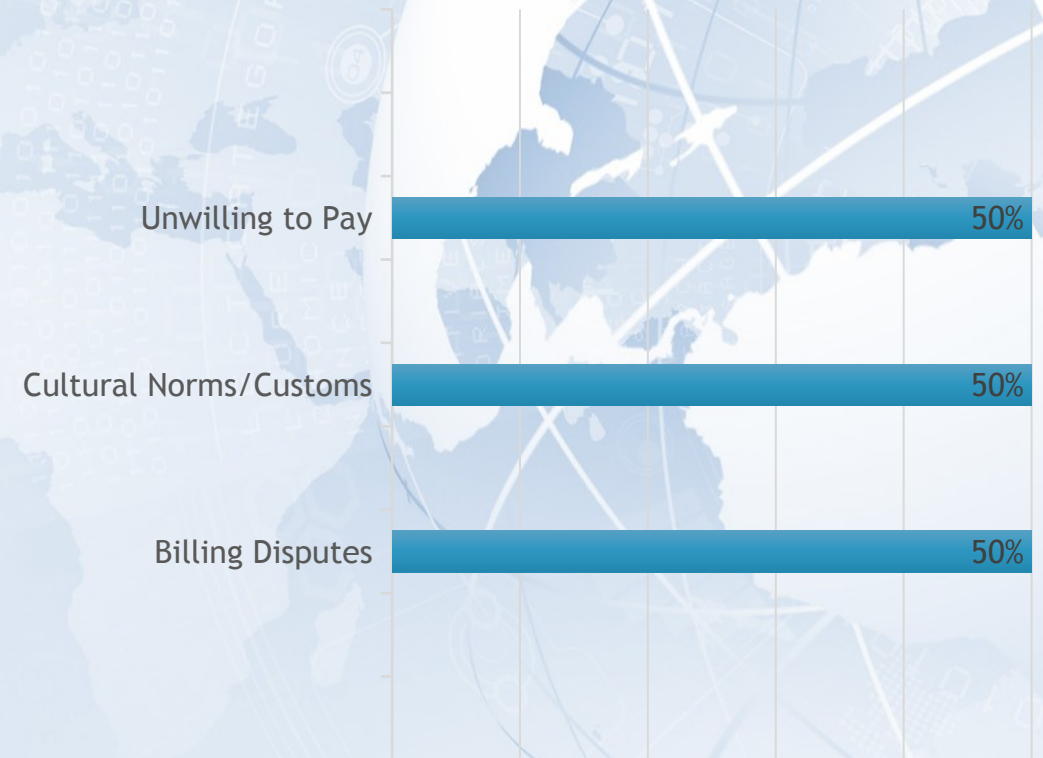
The most common causes of payment delays

South Africa

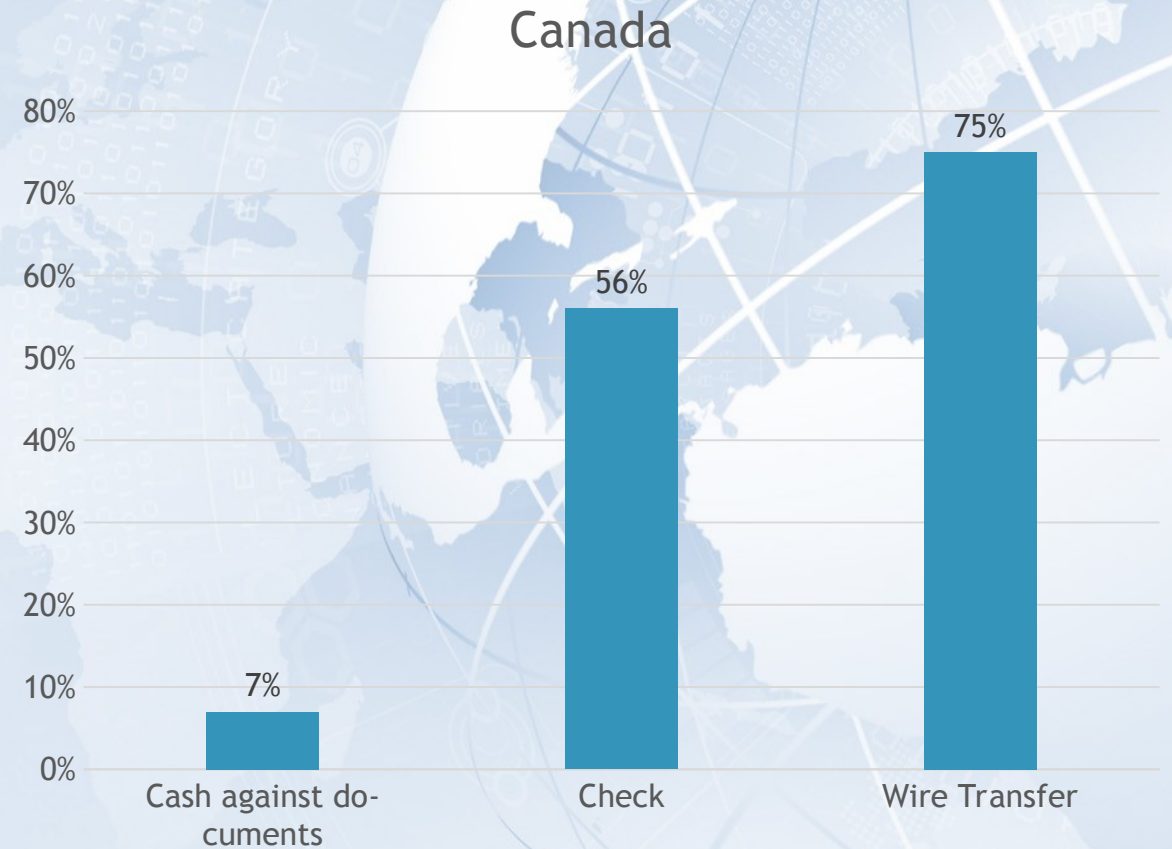
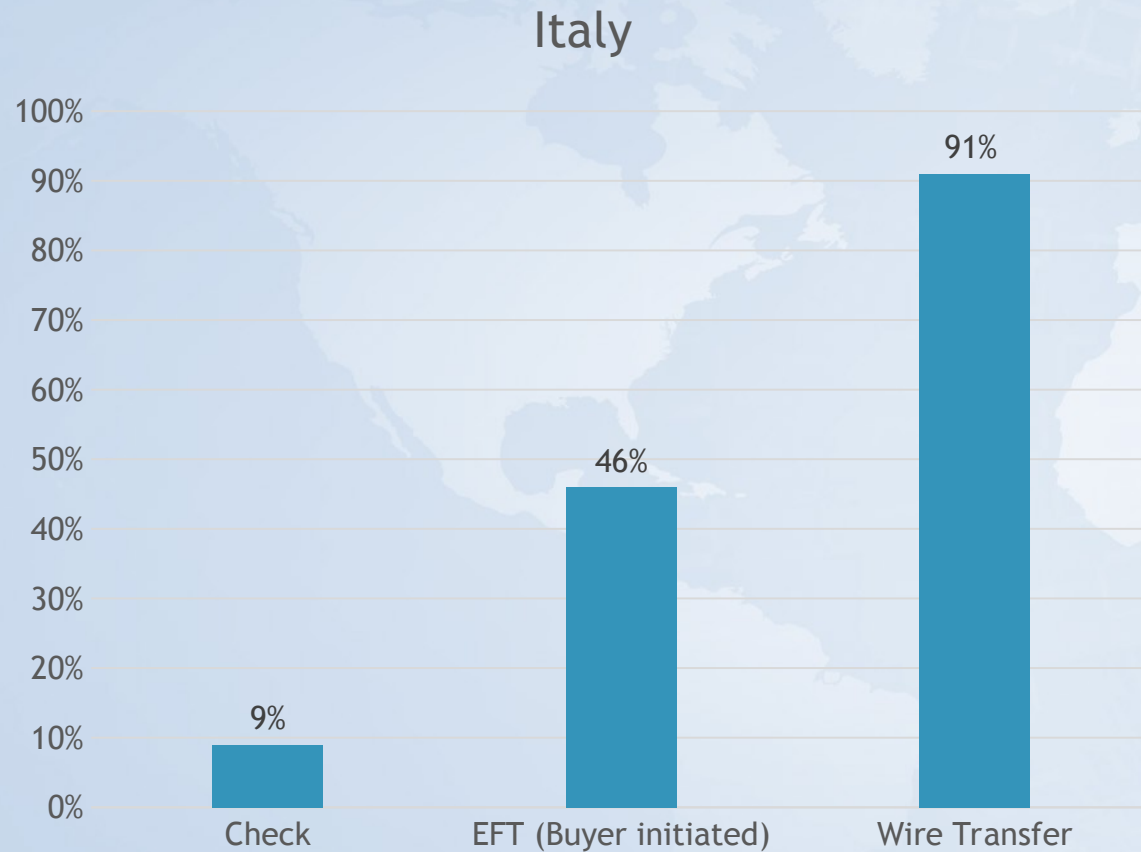


*(i.e. customer only pays on a set day of the month)

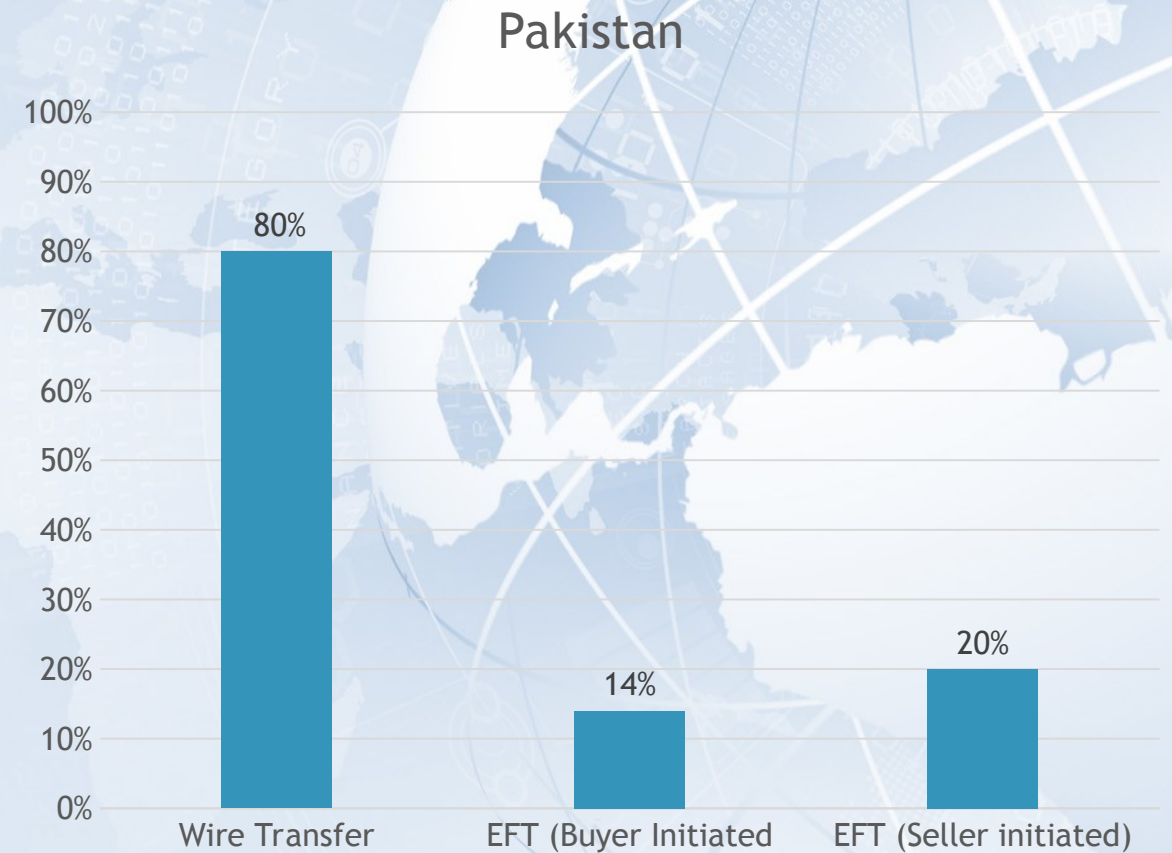
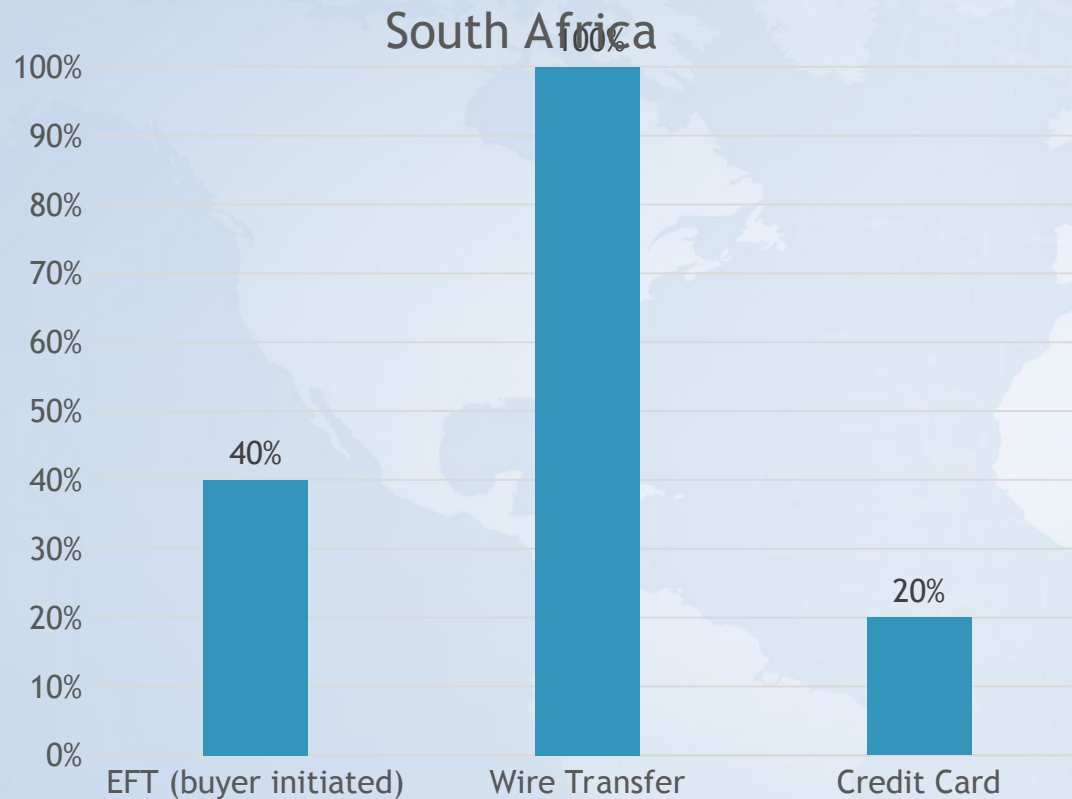
Pakistan



Methods used to secure payment



Methods used to secure payment



Insights from Credit Professionals

Italy

- Although there is a positive history, it is still a country at risk.
- Be sure to have a billing SOP prior to performing service

Canada

- Watch FX issues closely. Payments often occur in other currency.
- Utilize credit insurance if granting Net Terms to risky accounts

Pakistan

- The know your customer process is very important in Pakistan. Best practice is to thoroughly vet the ultimate business owner (UBO)

Insights from Credit Professionals

Non-country-specific Advice from the survey.

- Know your real customer, not the Trade/Banner name but the True Legal Entity (5 C's of Credit).
- Start early building a relationship with your customer, and include your salesperson - you'll make a team and teams work together.
- Follow up with the customer's Procurement Dept and Finance Dept as many times as necessary.
- Obtain updated credit information Look for owner and addresses verification, as changes are often not communicated by the customer. Know all you can about the customer. Pull a credit report for payment history and legal status and name verification.
- With continued global inflation, war in South Africa and high interest, you need to know your true legal customer to prevent fraud and keep your A/R secured.
- It is important to know customer's payment process to avoid misunderstandings or delays due to administrative issues.
- Obtain financial statements on your customers and backstop sales with credit insurance.
- Ensure payment language is on the wire payments received.